

RULES & REGULATIONS FOR CONSULTANCY SERVICES



**INDIAN INSTITUTE OF INFORMATION TECHNOLOGY
BHOPAL, MADHYA PRADESH (INDIA)**

(w.e.f FY 2023-2024)

1 DEFINITIONS

1. **Consultancy Services** means a consultancy work / assignment / job given by an outside organization/agency to a faculty of the Institute for work within mutually agreed scope. It will also include a consultancy work / assignment / job referred to the Head of the Department or the Director, which in turn is taken up as a Consultancy Service by the faculty. This is a time and cost bound activity.
2. Consultancy Services are classified as:
 - 2.1 **Type-I** Consultancy Services include all such assignments which do not require Institute's laboratory facility, such as Designs, Proof Checking / Vetting of Designs, Preparation of Detailed Project Reports, Third Party Quality Control and Site Visits, Engagement / services of Individual(s) by any organization for a time period or for a particular consultancy assignment in an advisory capacity or as an expert, and other similar assignments.
 - 2.2 **Type-II** Consultancy Services include all such assignments that require laboratory facilities of the Institute, such as Material Testing, Mix Designs, Soil Stabilization and Field Testing and other similar assignments.
 - 2.3 **Type-III** A consultancy service of mixed nature involving both type of testing and design assignments can be split into Type I' and Type 'II' in the proportion to be decided judiciously by the PI in advance.
3. **Consultant** means an individual or government / public sector / private organization engaged for a specific period to carry out a specific consultancy service. Department means all the academic departments, academic centres and schools at the Institute.
4. **Director** means Director of the Indian Institute of Information Technology Bhopal.
5. **Faculty** means a regular/on contract teaching employee of the Institute as per Recruitment Rules of the Institute and amended from time to time.
6. **Institute** means Indian Institute of Information Technology Bhopal.
7. **Institute Development Fund (IDF)** means an allocated fund for the Institute out of the charges received for consultancy services and shall be kept in the separate account under the earmarked fund of R & C Cell.
8. **Overall Consultancy Expenditures (OCE)** means total permissible expenses to be incurred for a consultancy service subject to a maximum of 32 % of total contracted

amount of the consultancy. This expenditure comprises of the Professional Charges (PC) and PI Consultancy Service Expenditures (PIC)

9. **Professional Charges (PC)** means administrative and managerial expenses at Central and Departmental levels for a consultancy service. This expenditure comprises of the Institute Professional Charges (IPC) and Departmental Professional Charges (DPC).
10. **Institute Professional Charges (IPC)** means administrative and managerial expenses at Central level for a consultancy service.
11. **Departmental Professional Charges (DPC)** means administrative and managerial expenses at Departmental level for a consultancy service.
12. **Principal Investigator** means a faculty of the Institute with necessary expertise and competence to undertake/ conduct a consultancy service. Normally, the faculty who submits the consultancy proposal and negotiates with the sponsor and instrumental in getting the consultancy funding is the Principal Investigator, hereinafter referred as PI.
13. **PI Consultancy Services Expenditures (PIC)** means expenses incurable for and during the course of consultancy service, subject to a maximum of 20% of total contracted amount of the consultancy service. PIC includes expenditures on hospitality, stationary, material, preparation of project report, P&T charges, salary/ payment to labour, honorarium/payment to staff, sitting fee of outside experts called for consultation, contingency, consumables, equipment including computer, printer and their peripherals, materials/items of non-consumable nature including office/lab furniture etc. and other miscellaneous expenditures related to consultancy services.
14. **R&C Cell** means Research and Consultancy Cell of the Institute.
15. **Salary** means the basic pay in the respective pay level and the dearness allowance thereon.
16. **Sponsor** means any organization, such as Government/ Semi-Government/ PSU/ Autonomous Bodies/ Private industry including any other organization not covered here, who funds consultancy services to the Institute.
17. **Staff** means a regular/on contract non-teaching employee of the Institute as per Recruitment Rules of the Institute and amended from time to time

2 GENERAL

1. Individual(s) or Department shall take up projects after taking approval of the Director of the Institute. All funds in connection with Consultancy Services shall be received in the name of the “Director, IIIT BHOPAL (Consultancy)”, only through D.D. / Electronic Transfer. In case of electronic transfer, details must be submitted to the account’s office for verification within one week of receipt of amount.
2. Norms for consultancy service initiation and management are given in **Annexure-I**. The funds receipt / payments in connection with Consultancy Services can be made through DD/ Cheque/ Electronic transfer or any other mode as may be prescribed by the Institute.
3. For projects involving only site visits for consultation work and/or personal discussion, charges will be decided at mutually acceptable rate which shall be based on extent and nature of work.
4. No consultancy (Type- I, Type- II, and Type- III) whatsoever, shall be less than Rs. 1,00,000/- plus GST.
5. Any faculty and staff members sent out in connection with consultancy work, will be treated on duty and Travel Expenses will be paid as per Institute norms. The faculty members going out for consultancy will be required to assure themselves that any of the Institute responsibilities are not hampered during the period of their non-availability. Completing the duties, in time will be the sole responsibility of the faculty engaged in consultancy.
6. Faculty members may be granted leave up to 15 days during a calendar year for work related to Sponsored Research/ Individual Consultancy Projects, as special casual leave.
7. The laboratory staff preceding on field work for Sponsored Research/Consultancy Project may avail special casual leave up to 15 days during a calendar year as per institute norms.
8. UG / PG / Research Scholars may also be engaged in the projects and remuneration to them should be paid as per their efforts/involvement.
9. If there is no Research and Consultancy Cell of the Institute then, all the case shall be forwarded to the office of the Director, for necessary action.

3 MANPOWER

1. Hiring of casual staff/labour: The P.I. can hire casual staff and or casual labour as per approved rates of the Institute/DC rate.
2. For hiring special skilled service, the PI may decide and pay as per the requirement of the consultancy services. The service under this category will be of purely on temporary and need based.
3. Use of Existing Staff: Existing regular Staff of Laboratory/office such as technicians / lab attendants / ministerial staff who may be available without affecting Department schedule may be considered subject to the requirement of the project and availability of such staff. Such staff may be hired from any department as per the requirement of the PI.
4. Consultants: The PI with the prior approval of Director, may avail the services of individuals not in the Institute service, or government organization as Consultants for any consultancy service.
5. The total amount payable under this section shall be covered within the limit of PIC. In case the estimated expenditure is expected to increase beyond PIC limit under this section, the proposal may be prepared in advance along with facts and figure for the submission to Director, for prior approval.

4 TRAVEL

1. The most expeditious and convenient mode of travel should be used to minimize period of absence from the Institute. Admissible DA or actual boarding & lodging expenses will be paid on production of bill(s).
2. Approval for domestic travel shall be accorded by PI; whereas, for travel of PI prior approval of Director is required. All faculty members are allowed to travel by own vehicle/AC taxi/train/Air as per requirement of the consultancy service. Depending upon location/nature of the project/equipment to be carried /time, the PI may allow the non-faculty staff also to travel by own vehicle/AC taxi/train/air irrespective of their entitlement of travel (i.e. the TA shall be paid accordingly).
3. The expenses incurred for carriage of an equipment in a car/suitable vehicle will also be covered under travel expenses.

4. Advance for travel, if any, will be approved by the Director.
5. Payment of charges to travel agents for Ticket purchase assistance, Visa assistance, Insurance etc. shall be admissible. If sponsor has specified any specific condition(s) for travel under the project that shall be followed normally. Approval of the Director, will be required for all international travels. Institute TA/DA rules will be applicable except for entitlement of travel.

5 FINANCE AND ACCOUNTS

1. A separate account shall be maintained for each consultancy service by the R&C Cell and shall be responsible for the submission of audited statement of accounts as and when required by concerned organization/persons.
2. At the time of submission of a consultancy service proposal, the PI shall make a provision for Institute Development Fund (IDF) at the rate of 40% and 60% of the total contracted amount of the consultancy service for Type-I and Type-II consultancy services respectively. For Type-III, the Type-I and Type-II in the proportion to be decided judiciously by the PI in advance.

Table 1: **Details of Distribution of Consultancy Service Amount**

Distribution of Consultancy Service Amount	Type of Consultancy Service	
	Type-1	Type-2
Total Consultancy Charges received (CC)	CC	CC
Goods and Service Tax as applicable (GST)	GST	GST
Total Contracted amount (T)	(CC - GST)	(CC - GST)
Overall Consultancy Expenditure (OCE)	OCE	OCE
Balance Amount for Distribution (X)	(CC - GST - OCE)	(CC - GST - OCE)
Institute Development Fund (IDF)	0.4 T	0.4 T
Amount to be distributed by PI	(0.6 T)	(0.6 T)

3. The amount to be distributed by PI, as mentioned above, is to be distributed amongst the PI, CI(s) and technical/laboratory staff of concerned department(s) only, and shall be at the sole discretion of PI.
4. A faculty (as PI and/or CI) can draw remuneration/share out of consultancy services up to his/her gross salary earned during the financial year, as per distribution given in Table 1.

5. In order to motivate the faculty and to enhance the consultancy services for revenue generation at the Institute level, in case the remuneration/share out of consultancy services exceeds to his/her gross salary, the excess amount shall be distributed in the ratio of 25:75 between the concerned faculty and Institute (IDF).
6. For all ministerial staff, the upper limit for remuneration from consultancy services is 60% of the gross salary received in a financial year and for all technical /lab staff it is 75%.
7. Any amount received out of the consultancy services, irrespective of its nomenclature, shall be considered for the purpose of deciding the upper limit.
8. The above limits out of consultancy services are subject to the condition that consultancy work does not interfere with the normal teaching / research work in the Institute and other duties of the faculty / staff member(s) concerned.
9. Overall Consultancy Expenditure (OCE) shall be 32% of total contracted amount (T) including PI Consultancy Service Expenditures (PIC) of 20% and Professional Charges (PC) of 12%. The Professional Charges (PC) comprises of the Institute Professional Charges (IPC) and Departmental Professional Charges (DPC) to the extent of 10% and 2% respectively.
10. The Institute Professional Charges (IPC) are payable for administrative and managerial expenses at Central level for a consultancy service. Its distribution shall be decided by the Director and Registrar.
11. The Departmental Professional Charges (DPC) are payable for administrative and managerial expenses at Departmental level for a consultancy service. Its distribution shall be decided by the PI in consultation with HOD, wherein the share of HOD shall not be more than half of the DPC.

6 INSTITUTE DEVELOPMENT FUND (IDF) FUND

Institute Development Fund (IDF) shall be calculated on a periodical basis or job basis and shall be maintained under R&C Cell as earmarked fund. It shall be utilized for both recurring and non-recurring expenditures with the prior approval of the Director in the interest and development of academic and research activities as and when required. Its utilization also includes for the purpose of development of Institutional Infra structure facilities like equipment

laboratories, class rooms, committee/ conference rooms, R&D facilities; repair, maintenance and A.M.C of equipment; and seed money for research project/ activities.

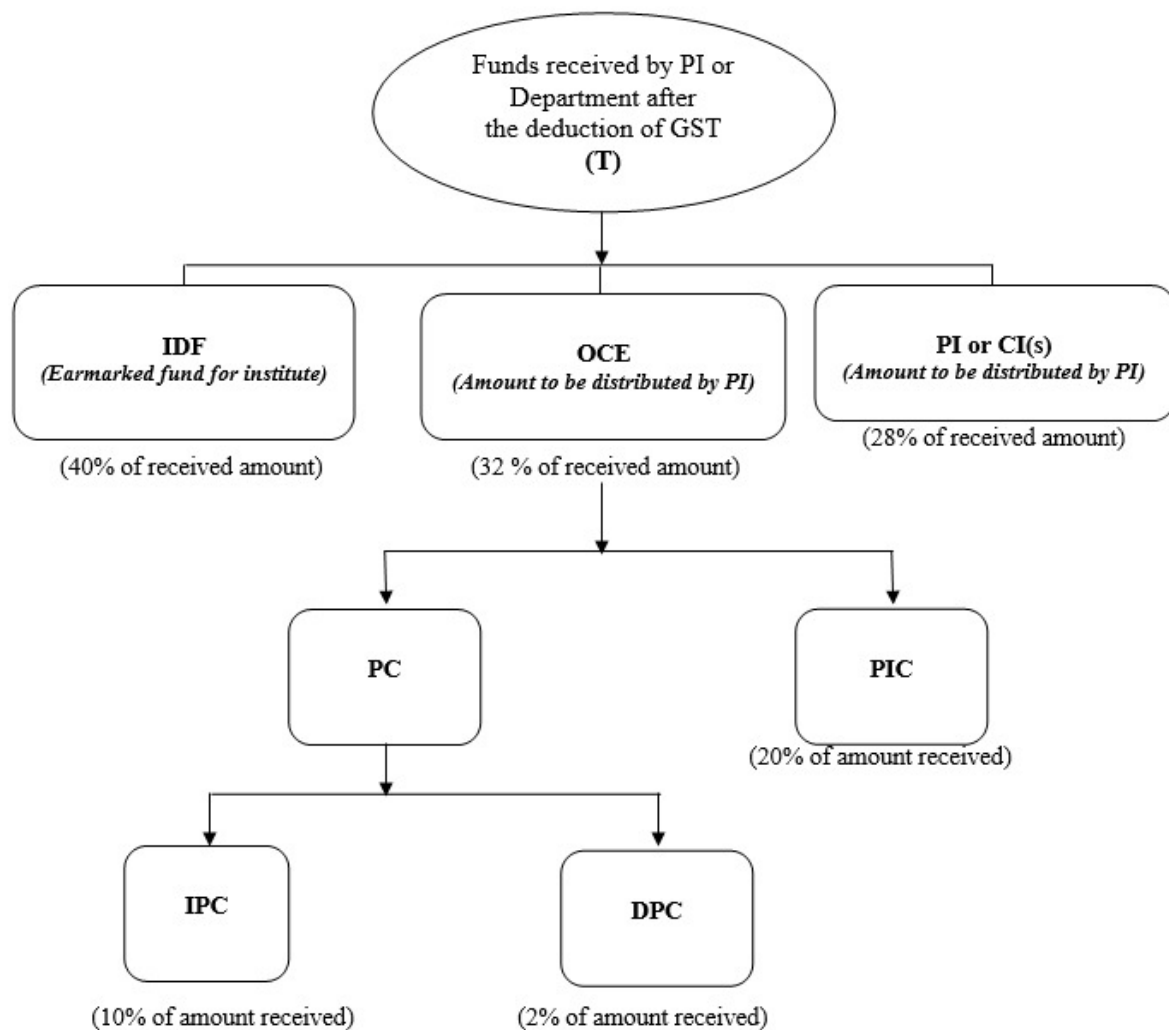
7 EXCEPTION CLAUSE

These rules and regulations shall normally be applicable to all consultancy services. However, any procedural and/or administrative changes which does not constitute to policy change may be approved by the Director.

8 REVIEW

These rules may be reviewed from time to time as per needs.

A flowchart representing the entire financial process of industrial consultancy.



T- Total Contracted Amount

IDF- Institute Development Fund

OCE- Overall Consultancy Expenditures

PI- Principal Investigator

CI- Co-Investigator

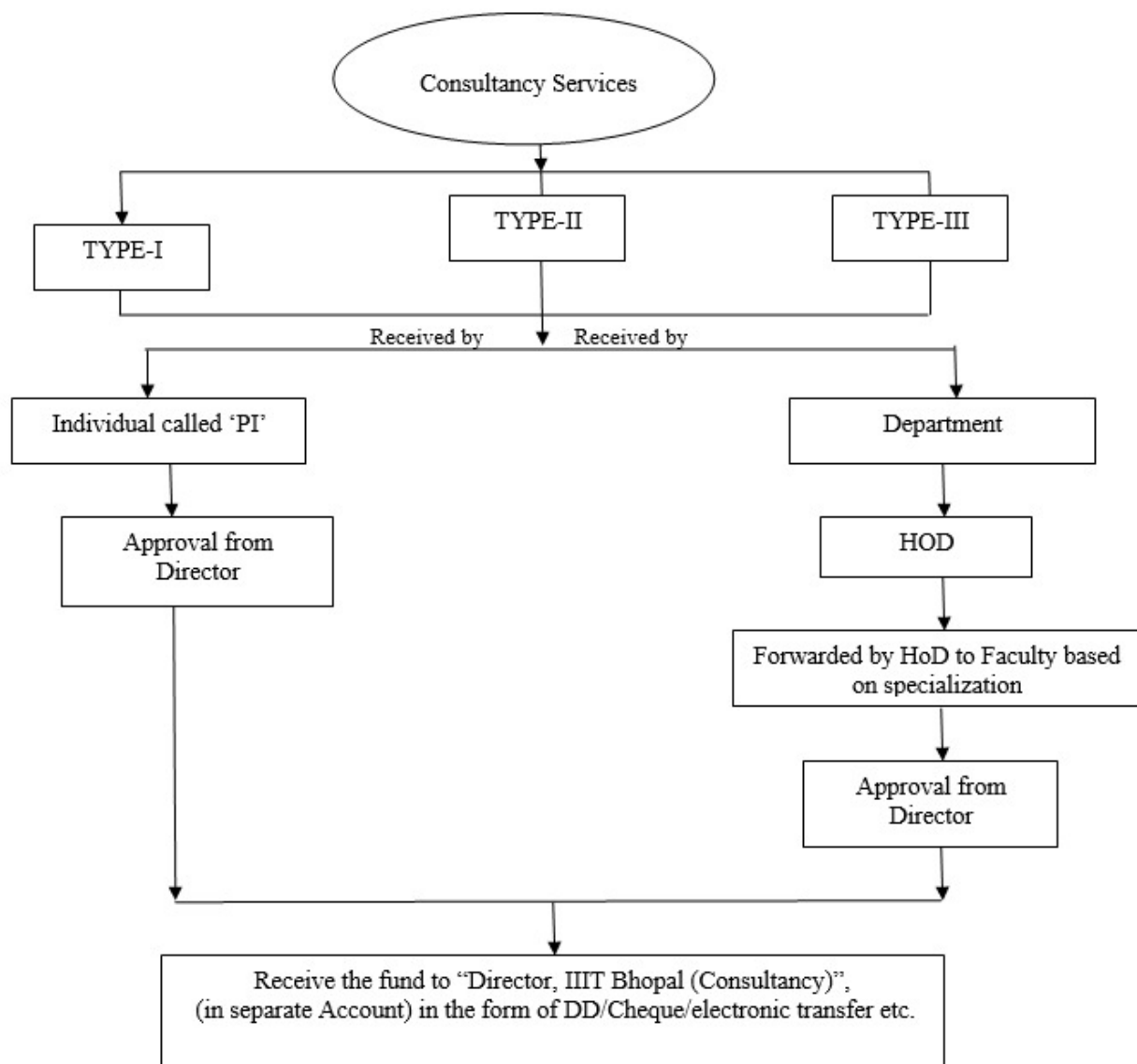
PC- Professional Charges

IPC- Institute Professional Charges

DPC- Departmental Professional Charges

PIC- PI Consultancy Services Expenditures

A flowchart representing the entire approval process of industrial consultancy.



Norms for Consultancy Services initiation and management

1. General

1.1 Each consultancy service shall have a Principal Investigator (PI) who will be a faculty and shall be responsible for:

1.1.1 Formulating the project proposal which may include -

- Planning of the work to be done;
- Estimating costs according to the nature of project and expenses/expertise involved;
- The minimum rates for routine testing jobs to be charged as consultancy fee will be maintained by specialization wise each section of the department. The rate can, however, be charged by the PI on the higher side depending upon the complexity involved and size of the project; and
- If necessary, identifying Co-Investigators whose prior approval is required.

1.1.2 Co-ordination and execution of work.

1.1.3 Handling all communications with the sponsor.

1.1.4 Writing of intermediate and final reports according to the consultancy service proposal.

1.1.5 Ensuring that all reports bear the name of the Principal Investigator and his/her signatures and the name(s) of the Co-Investigator(s) who participated in the consultancy service.

1.2 It shall be the responsibility of the PI to get consultancy service completed satisfactorily.

1.3 The PI shall ensure that the head-wise expenditure does not exceed as applicable.

1.4 The PI shall write to the sponsor for timely release of funds.

1.5 For Consultancy Service, the sponsor which assigns the consultancy assignment usually approaches the Institute for Consultancy work through an individual or a functionary of the Institute i.e. Head of the Department, or Director. When an individual is approached for the consultancy service, he/she will be normally the Principal Investigator. If the project is referred to a functionary; the Principal

Investigator would be identified by the Head of the Department to whom Director refers the consultancy service. The HOD while allocating the consultancy service to a faculty of the concerned specialization shall ensure equitable distribution of such projects involving the participation of maximum number of faculty as far as possible.

- 1.6 No retiring faculty member be allowed to submit a consultancy service proposal as Principal Investigator (PI) if more than half of the proposed duration of the consultancy service falls beyond the date of retirement of the PI.
- 1.7 If the PI leaves the Institute, retires or proceeds on leave or is not available for some reason, on the recommendation of the P.I. (if he/she is available) appoints a new PI, who will assume the powers and responsibilities of the PI. The new PI should be agreeable to become PI. The new PI will also give an undertaking to complete the assignment in the remaining funds and time period. However, in exceptional circumstances, a retired faculty member may continue to work as P.I. with the approval of the Director, if he/she continues to serve the Institute in some other capacity.
- 1.8 Normally the agreed charges of the consultancy service are to be deposited by the sponsor, in full, before the work commences. However, this stipulation is negotiable. In cases where the work is started with only partial charges deposited in advance, the arrangements of subsequent receipt of funds from the client have to be clearly spelled out in advance.
- 1.9 Sponsor shall deposit consultancy charges preferably through DD/ Cheque/ Electronic transfer or any other mode as may be prescribed by the Institute in the name of “Director, IIIT Bhopal (Consultancy)”. PI may receive the consultancy charges on behalf of Director, IIIT Bhopal, to be deposited at the earliest preferably within next two working days of the receipt of the same.
- 1.10 Consultancy assignment file will be closed with the submission of final consultancy report and final settlement of accounts.
- 1.11 The work on the assignment can be started by the P.I. in anticipation of the approval of the consultancy job, if disapproval of the competent authority is not received by the PI within 4 working days of applying for the project to the HOD of the respective department.
- 1.12 The final report of the consultancy assignment shall normally be issued by the PI to the sponsor/client after completion of the consultancy service in all respect and

after the consultancy fee has been deposited with the Institute. Interim reports can, however, be issued on firm assurance of receiving the consultancy fee from the sponsor.

- 1.13 The forwarding of repos (final or interim) to the sponsoring agency (service receiver) shall have the diary number of Research & Consultancy Cell.

2. Collaboration with Outside Organizations

If collaboration with other Govt./Public Sector organizations is envisaged, the nature scope and financial budget of the proposed arrangements will also be specified at the time of submitting the consultancy proposal for approval of the competent authority.

3. Liability

In case any legal dispute arises between the Investigator(s) and the sponsor such that the Investigator(s) are in any way, held responsible to make good the losses incurred by the sponsor, such liability will be restricted to a maximum of the total amount charged for the project as consultancy fee after deduction of the statutory taxes and the expenditure / liabilities incurred on the project. It is in the interest of the Investigators to bring this fact to the notice of the sponsors. The expenditure / liabilities as determined by the Institute will be calculated as the expenditure / liability till such date on which the sponsors inform the Investigator in writing to stop work on the project for ongoing projects, or till the end of the project for completed projects.

4. Publication of Results

PI will have the right to publish the work carried out by him/her unless the sponsors have an agreement under which the prior permission is required. In such cases the draft paper before publication will be submitted to sponsors and if no objections are raised within one month of the submission of the proposal to publish the result, it will be assumed that the sponsors have no objection to the publication.

5. Documents/Material to Maintain

The report (soft copy or hard copy) of the consultancy projects will be kept by PI for a period of 03 years from the date of issue of report. All documents/records related to payment of consultancy fee and expenditure/payments/distribution will be maintained by In-charge Account/ PI as the case may be for a period of 03 financial years from the financial year in which the report is submitted to the sponsor. Material received for testing in the lab shall normally be retained in respective labs for a period of one week from the date of issue of test report to the sponsor/client.

6. FORMS

To ensure smooth administration & management of consultancy services, only the prescribed forms by institute will be used by the PIs and others concerned. For reference, the forms **RCS01** and **RCS02** are attached along with the annexure for the approval and closure of the consultancy work.

INDIAN INSTITUTE OF INFORMATION TECHNOLOGY BHOPAL

Request for Approval of Consultancy Job

Dated:

1. Name of the project and its brief description:

2. Sponsoring agency:

3. Type of consultancy service as per clause 2 of the Section 1 applicable (tick one)

☐ 2.1☐ 2.2☐ 2.3

4. If this project is divided into phases, the phase no:

5. Total Consultancy Charges/Fee to be realized from the party (CC):

Contracted amount : + GST: Total:

6. PI Consultancy Service Expenditures (PIC): Rs

7. Co-Investigator (s) i.e.CI(s) to be associated:

(i) (ii) (iii)

8. Duration of Project: One week / One Month / Six months / One year / Two year / more

Encl: Attested copy of the letter from sponsoring agency.

Signature of the Principal investigator

Name:

Department:

The laboratory facilities for this job can be provided in the department without affecting the teaching work (only for 2.2 of Section 1). The above request may be approved.

HOD

 Job No.

Allotted on

Approved/Not Approved

(Director)

 Research & Consultancy Cell to send the copies of approval / disapproval to the following:

1. HOD of respective department

4. In-charge Accounts: R&C Cell

2. Principal Investigator

S. Office of Director for records

3. Chief Audit Executive

Name of PI

Deptt Dated:

Job No.: no. jobs under Clause as per details given below:

[illegible]

Amount to be distributed : Rs

Institute Development Fund (**IDF**) i.e. Institute share: Rs

Amount to be distributed by PI i.e. staff share: Rs

Distribution of Amount

[illegible]

Certified that:

1. The distribution has been made strictly as per rules and as approval obtained.
2. The work has been done outside Institute hours. (only for 2.1 of Section 1).
3. No. bill is pending with me and total expenditure has been included.
4. The work has been completed and the report sent to the party vide Report Nos. as mentioned above.

Principal Investigator/HOD

Checked and found in order. The share of no faculty/staff member has exceeded the limits prescribed. The amount exceeded the prescribed limit has been distributed as per the rules.

In-charge Accounts/R&C Cell

Checked in order
CAE

Recommended
Register/OSD

Approved
Director